Fiscal Impact Statement

Legislative Council Staff

Nonpartisan Services for Colorado's Legislature

PROPOSITION 132: INCREASE PENALTIES FOR FENTANYL CRIMES

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Summary Information

Overview. The measure increases penalties for crimes related to selling and possessing synthetic opiates.

Types of impacts. The measure is projected to affect the following areas:

- State Revenue
- State Expenditures
- TABOR Refunds
- Local Government

Disclaimer. This fiscal impact statement has been prepared for a statewide ballot measure appearing at the 2026 statewide election. Any appropriations required to implement this measure will be addressed through the annual or supplemental budget process if this measure is approved by voters. For more information about this measure, please see the ballot information booklet.

Table 1
State Fiscal Impacts

Type of Impact	Current Year FY 2026-27	Budget Year FY 2027-28	Out Year FY 2028-29
State Revenue	$23,025	$73,231	$73,231
State Expenditures	$876,488	$8,923,227	$24,782,566
Transferred Funds	$0	$0	$0
Change in TABOR Refunds	$23,025	$73,231	$73,231
Change in State FTE	6.0 FTE	11.7 FTE	11.7 FTE

Fund sources for these impacts are shown in the tables below.

Table 1A
State Revenue

Fund Source	Current Year FY 2026-27	Budget Year FY 2027-28	Out Year FY 2028-29
General Fund	$0	$0	$0
Cash Funds	$23,025	$73,231	$73,231
Total Revenue	**$23,025**	**$73,231**	**$73,231**

Table 1B
State Expenditures

Fund Source	Current Year FY 2026-27	Budget Year FY 2027-28	Out Year FY 2028-29
General Fund	$876,488	$8,923,227	$24,782,566
Cash Funds	$0	$0	$0
Federal Funds	$0	$0	$0
Total Expenditures	**$876,488**	**$8,923,227**	**$24,782,566**
Total FTE	**6.0 FTE**	**11.7 FTE**	**11.7 FTE**

Summary of Legislation

The measure increases the penalties for distributing, manufacturing, dispensing, selling, and possessing fentanyl, carfentanil, and benzimidazole opiate (synthetic opiates), and limiting judicial discretion in these cases.

Unlawful Distribution, Manufacturing, Dispensing, or Sale

The measure makes distribution, manufacturing, dispensing, or sale of synthetic opiates a level 1 drug felony. Under current law, defendants convicted of a level 1 drug felony must be sentenced to a term in the DOC of between 8 and 32 years. Currently, this offense is classified as follows:

- a level 1 drug felony if the distribution, manufacturing, dispensing, or sale is of more than 50 grams of a substance with a synthetic opiate, or if someone died in relation to the distribution;
- a level 2 drug felony if the distribution, manufacturing, dispensing, or sale is between 4 and 50 grams of a substance that contains a synthetic opiate; or
- a level 3 drug felony if the distribution, manufacturing, dispensing, or sale is of less than 4 grams of a synthetic opiate.

The measure also removes the reduction in charges to a misdemeanor under "Good Samaritan" protections, which reduce criminal penalties for offenders that report an overdose and stay until help arrives.

Possession of Synthetic Opiate

The measure makes possession of a substance with a synthetic opiate a level 3 drug felony if the person possesses 1 to 4 grams of a synthetic opiate and a level 4 treatment-mandated drug felony for possession of less than 1 gram. Currently, possession of a substance with a synthetic opiate is classified as follows:

- a level 4 drug felony if a person possesses between 1 and 4 grams of a substance with a synthetic opiate in it; or
- a level 1 drug misdemeanor if a person possesses less than a gram of a substance that has a synthetic opiate in it, or if the defendant establishes that they did not know a controlled substance had a synthetic opiate.

Additionally, the measure removes the possibility of vacating a felony for possession of a synthetic opiate between 1 and 4 grams, and instead allows possession of less than a gram to be vacated. Finally, the measure reinstates habitual criminal punishment provision for level 4 drug felonies for possession of a synthetic opiate.

Comparable Crime Analysis

The following section outlines crimes that are comparable to the offense in this measure and discusses assumptions on future rates of criminal convictions resulting from the measure. Because this offense was recently reclassified, only two years of data are available.

Unlawful Distribution, Manufacturing, Dispensing, or Sale

This measure reclassifies the existing offense of unlawful distribution, manufacturing, dispensing, or sale of less than 50 grams of a synthetic opiate from a level 2 or 3 drug felony to a level 1 drug felony. From FY 2022-23 to FY 2024-25:

- an average of 193 individuals per year have been convicted and sentenced for the level 2 felony drug offense.
- an average of 202 individuals per year have been convicted and sentenced for the level 3 felony drug offense.

Possession of Synthetic Opiate

This measure reclassifies the existing offenses of unlawful possession of less than a gram of a substance with a synthetic opiate, and possession of 1 to 4 grams of a substance with a synthetic opiate where the defendant was unaware from a level 1 drug misdemeanor to a level 4 drug felony. From FY 2022-23 to FY 2024-25:

- an average of 825 individuals per year have been convicted and sentenced for possession of less than a gram of a substance with an opiate offense.

- an average of 25 individuals per year have been convicted of possessing 1 to 4 grams of a substance with a synthetic opiate in it, and did not know the substance contained a synthetic opiate.

This measure also reclassifies the existing offense of unlawful possession of 1 to 4 grams of a substance with a synthetic opiate from a level 4 drug felony to a level 3 drug felony. From FY 2022-23 to FY 2024-25, an average of 261 individuals per year have been convicted of this offense.

Assumptions

By changing the criminal offenses described above, the measure impacts the criminal justice system in four ways.

1. It will increase the time of incarceration for level 2 and level 3 drug felonies by increasing the classification for these crimes to level 1 drug felonies.
2. For individuals who are currently convicted for a level 2 and 3 drug felonies and receive a sentence other than incarceration in a state prison, the measure's reclassification of these offenses to a level 1 drug felony requires a mandatory CDOC sentence.
3. By reclassifying a level 4 drug felony to a level 3 drug felony for possession, the measure will increase incarceration time for persons convicted of level 4 drug felonies.
4. By reclassifying a level 1 drug misdemeanor to a level 1 drug felony, costs will shift from Denver County Court and jails, which are funded at the county level, to Denver District Court and CDOC, which is funded at the state level.

Unlawful Distribution, Manufacturing, Dispensing, or Sale

Based on the sentencing data detailed in the Comparable Crime Analysis section, estimates from the CDOC, and 2025 average length of stay data, the fiscal note makes the following assumptions about the measures changes to distribution, manufacturing, dispensing, and sale offenses.

Of the 193 individuals convicted for the existing level 2 drug felony distribution offense:

- 131 individuals currently sentenced to CDOC will have sentences lengthened from an average of 28 months to 83 months as a result of the reclassification to a level 1 drug felony; and
- the remaining 62 individuals will be sentenced to the CDOC under the measure instead of receiving an alternative sentence outside of CDOC.

Of the 202 individuals convicted for the existing level 3 drug felony distribution offense:

- 93 individuals currently sentenced to the CDOC will have sentences lengthened from an average of 19 months to 83 months as a result of the reclassification to a level 1 drug felony; and
- the remaining 109 individuals will be sentenced to the CDOC under the measure instead of receiving an alternative sentence outside of CDOC.

Possession of Synthetic Opiate

Of the 825 individuals convicted for the existing level 1 drug misdemeanor for possession, about 60 percent of cases receive a sentence to incarceration in local jail. Of the 25 individuals convicted for the existing level 4 drug felony for possession, about 25 percent of cases result in a CDOC sentence.

However, because Section 18-1.3-104.5, C.R.S., requires courts to exhaust all reasonable and appropriate alternative sentences before sentencing someone to the CDOC for a level 4 drug felony, and because the measure mandates a treatment sentence the fiscal note assumes that incarceration for possessing less than 1 gram of fentanyl will be less than half of the current CDOC rate for a level 4 drug felony, resulting in about 50 additional sentences to the CDOC.

Of the 261 individuals convicted for the existing level 4 drug felony unlawful possession of 1 to 4 grams of a substance with a synthetic opiate:

- 66 individuals currently sentenced to the CDOC will have sentences lengthened from an average of 8 months to 19 months as a result of the reclassification to a level 3 drug felony.

Cases from the City and County of Denver

In the last two years, the Denver County Court has seen an annual average of 450 cases with a level 1 drug misdemeanor possession of less than 1 gram of a substance with a synthetic opiate charge. Due to the measure's reclassification of this offense, these cases will be prosecuted in Denver District Court, which is funded and administered by the state.

Visit the General Assembly website for more information about criminal justice costs in fiscal notes.

State Revenue

The measure will increase state revenue by an estimated $20,000 in FY 2026-27 and $72,000 in FY 2027-28 and future years. All revenue collected from criminal fines and fees are deposited into various cash funds and the General Fund, and are subject to TABOR. Based on Judicial revenue data, level 4 drug felonies are assessed, on average, about $2,084 more in criminal fines and fees than level 1 drug misdemeanors. This revenue increase is based on the sentencing assumptions in the outlined above, and factor in assumed indigency and collection rates. Revenue increases in the second year due to collections from assessments from the previous years.

State Expenditures

The measure increases state expenditures by $876,000 in FY 2026-27, $8.9 million in FY 2027-28, $24.8 million in FY 2028-29, and increasing amounts in future years as prison costs for the CDOC compound from increased admissions and longer lengths of stay. Costs will also be incurred in the Judicial Department and the Office of the State Public Defender. These impacts are summarized in Table 2 described in the sections below. All costs are paid from the General Fund.

Table 2
State Expenditures
All Departments

Department	Current Year FY 2026-27	Budget Year FY 2027-28	Out Year FY 2027-28
Judicial Department	$240,965	$271,939	$271,939
Office of the State Public Defender	$635,523	$1,122,421	$1,122,421
Department of Corrections	$0	$7,528,868	$23,388,206
Total Costs	**$876,488**	**$8,923,227**	**$24,782,566**

Judicial Department

The measure increases expenditures in the Judicial Department to hire additional court staff, and will impact Division of Probation workload. Costs in FY 2026-27 are prorated for a January 1 start date.

Court Staff Impact

Based on the assumed number of 470 Denver County Court cases moving to Denver District Court, as outlined in the Comparable Crime and Assumptions section, the Judicial Department will require 2.0 FTE. One judge can handle about 936 drug felony cases, and each judge requires a 1-to-3 ratio of support staff. This results in a need of 0.5 FTE magistrate, and 1.5 FTE support staff. In addition to standard operating and capital outlay costs, magistrates also receive additional operating expenses for robes, law library set up and maintenance, and travel.

Probation

Workload in the Probation Division is impacted in two ways. First, expenditures will decrease as a result of the measure's reclassification of several offenses to level 1 drug felonies, since individuals sentenced to probation under current law will instead be sentenced to the CDOC. Second, expenditures will increase due to cases moving from Denver County Court probation to Denver District Court probation. On net, this offsetting increase and decrease in caseload is expected to have a minimal impact on total workload for the Probation Division.

Table 2A
State Expenditures
Judicial Department

Cost Component	Current Year FY 2026-27	Budget Year FY 2027-28	Out Year FY 2028-29
Personal Services	$122,616	$217,581	$217,581
Operating Expenses	$2,944	$5,120	$5,120
Capital Outlay Costs	$88,050	$0	$0
Supplemental Insurance	$27,355	$49,238	$49,238
Total Costs	**$240,965**	**$271,939**	**$271,939**
Total FTE	**1.1 FTE**	**2.0 FTE**	**2.0 FTE**

Office of the Public Defender

The measure increases expenditures in the Office of the Public Defender (OSPD) by about $600,000 in FY 2026-27 and $1.1 million per year starting in FY 2027-28 to hire additional staff to defend indigent offenders, as described below. Costs in FY 2026-27 are prorated for a January 1 start date.

Staff

By increasing the crime classification level and mandating sentences to the CDOC, the OSPD requires additional attorneys to handle more complex and longer cases. Based on the assumed number of cases and current workload models, it is estimated the office will require an additional 5.3 FTE public defenders.

The addition of 5.3 FTE public defenders requires 4.4 FTE for support staff, including investigators (at a 1-to-3 attorney ratio), legal assistants (at a 1-to-6 attorney ratio), administrative assistants (at a 1-to-4 attorney ratio), and central staff (at 4.5 percent of trial office staff). The fiscal note assumes all staff will start January 1.

Table 2B
State Expenditures
Office of the State Public Defender

Cost Component	Current Year FY 2026-27	Budget Year FY 2027-28	Out Year FY 2028-29
Personal Services	$443,271	$877,074	$877,074
Operating Expenses	$6,272	$12,416	$12,416
Capital Outlay Costs	$63,000	$0	$0
Attorney Registration and Training	$10,699	$10,669	$10,669
Centrally Appropriated Costs	$112,281	$222,231	$222,231
Total Costs	**$635,523**	**$1,122,421**	**$1,122,421**
Total FTE	**4.9 FTE**	**9.7 FTE**	**9.7 FTE**

Department of Corrections

Based on the assumptions provided in the Comparable Crime Analysis section, this measure increases prison operating costs for the CDOC by a total of $141.6 million over the five-year period beginning in FY 2026-27. The fiscal note assumes no prison operating impacts will occur in the first year due to the amount of time required for criminal filing, trial, disposition and sentencing of each case. Once an offender is released from prison, he or she is assigned to parole. The parole impact is assumed to first occur in FY 2028-29. Table 2C shows the estimated cost of the measure over the next five fiscal years.

Table 2C
Prison and Parole Operating Costs

Fiscal Year	Prison ADP Impact	Prison Cost	Parole ADP Impact	Parole Cost	Total Cost
FY 2026-27	0.0	$0	0.0	$0	$0
FY 2027-28	110.50	$7,528,868	0.00	$0	$7,528,868
FY 2028-29	344.78	$23,491,430	-12.31	-$103,225	$23,388,206
FY 2029-30	629.31	$42,877,810	-54.75	-$459,248	$42,418,563
FY 2030-31	1,024.31	$69,790,958	-185.95	-$1,559,720	$68,231,237
Total Five-Year Cost		**$143,689,066**		**-$2,122,193**	**$141,566,873**

ADP=average daily population.

In addition to the five-year operating and parole impacts discussed above, the measure may require additional funds to construct additional state prison space. The need for additional prison space and the exact cost will depend on a variety of factors such as the use of private prisons, future incarceration and parole rates, and legislative decisions. If additional state prison space is required, the cost is estimated to be $412,500 per bed, based on a 2024 survey solicited by DOC on the cost to build a medium security facility. Based on this, costs could increase by up to $422.5 million if the General Assembly decides to build sufficient state prison beds to accommodate the full increase in average daily prison population outlined in Table 2C.

TABOR Refunds

The measure is expected to increase the amount of state revenue required to be refunded to taxpayers by the amounts shown in the State Revenue section above. This estimate assumes the June 2026 LCS revenue forecast. A forecast of state revenue subject to TABOR is not available beyond FY 2027-28. Because TABOR refunds are paid from the General Fund, increased cash fund revenue will reduce the amount of General Fund available to spend or save.

Local Government

The measure is expected to both increase and decrease workload and costs for local governments, as described below. The exact impact to a particular local government will vary depending on the number of offenses committed within its jurisdiction.

District Attorneys

By reclassifying crimes to a higher penalty level, the measure will increase workload and costs for district attorneys to prosecute these cases. District attorney offices are funded by counties, with each county in a judicial district contributing based on its population.

County Jails

By moving a misdemeanor to a felony, the measure may decrease expenditures to county jails. The exact decrease is unknown. Jails are funded by county governments.

Denver County Court

The measure decreases expenditures to Denver County Courts due to moving cases from Denver County Court, which is funded by the City and County of Denver, to Denver District Court, which is funded by the state.

Effective Date

If approved by voters at the 2026 general election, this measure takes effect on January 1, 2027.

State and Local Government Contacts

Corrections

District Attorneys

Judicial

Public Defender

Sheriffs